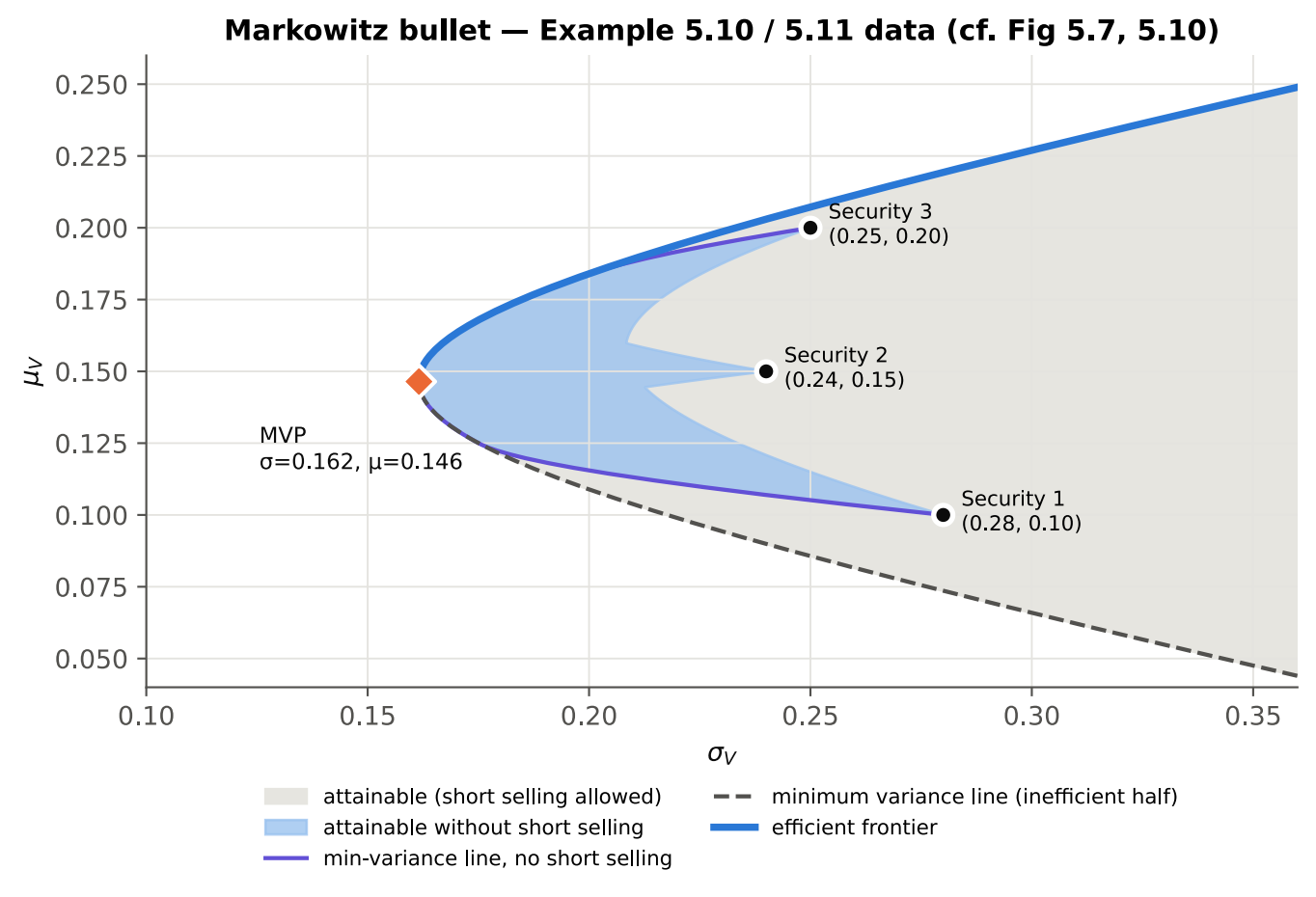

Markowitz bullet — Example 5.10 / 5.11 data (cf. Fig 5.7, 5.10)
0.250
0.225
0.200
0.175
0.150
0.125
0.100
0.075
0.050
μ_V
0.10
0.15
0.20
0.25
0.30
0.35
σ_V
Security 3
(0.25, 0.20)
Security 2
(0.24, 0.15)
Security 1
(0.28, 0.10)
MVP
σ=0.162, μ=0.146
attainable (short selling allowed)
attainable without short selling
min-variance line, no short selling
minimum variance line (inefficient half)
efficient frontier